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## TSMC | Asia Pacific

## Earnings preview and catalysts for 2Q26 analyst meeting

We suggest accumulating the stock given potential for full-year 2026 guidance to be raised.

**What and when is the catalyst?** TSMC will host its 2Q26 analyst meeting on July 16. In [TSMC: Domination in leading-edge foundry continues; OW \(29 June 2026\)](#), we noted that TSMC may lift 2026e revenue guidance to close to 40% Y/Y growth and raise capex to US\$56bn, the high end of its initial US\$52-56bn range. Looking ahead to 3Q26, we forecast revenue to be up in the low to mid-teens Q/Q given strong demand in both 3nm and 2nm products. The margin should improve further Q/Q, in our view, with better utilization rate, but higher costs and depreciation are potential offsets. See our [preview and key questions to ask](#).

**What are the potential outcomes for this event?**

- **Scenario 1:** TSMC guides for 3Q26 revenue to be up 15% Q/Q in USD, full-year revenue growth target raised to ~40% Y/Y, 3Q gross margin to be ~70%. 2026 full-year capex raised to US\$60bn, and 2024-2029 five-year AI semi revenue CAGR is raised to 80%. TSMC cannot fulfill the strong AI demand until the end of the decade.
- **Scenario 2 (base case):** TSMC guides for 3Q26 revenue to be up 10%-15% Q/Q in USD, full-year revenue growth target raised to high 30s (% Y/Y) or close to 40% Y/Y, 3Q gross margin to be ~67%-68% (flat Q/Q). Full-year 2026 capex updated to US\$56bn, while five-year AI semi revenue CAGR raised to 70% from the current mid- to high 50s (%), mainly from memory cost increase. TSMC is trying to meet strong AI demand in 2028.
- **Scenario 3:** TSMC guides for 3Q26 revenue to be up 5%-10% Q/Q in USD, full-year revenue growth updated to ~35% Y/Y, 3Q gross margin to be ~66%-67% (down Q/Q). 2026 full-year capex guidance unchanged at US\$54-56bn, while five-year AI semi revenue CAGR is also unchanged at mid- to high 50s (%). AI demand is strong but could be affected by memory costs.

**What are the potential implications of these outcomes for TSMC's share price?**

**Scenario 1:** up 3-5%. **Scenario 2:** up 1-3%. **Scenario 3:** down 3-5%.

See [Exhibit 1](#).

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**TSMC (2330.TW, 2330 TT)**

Greater China Technology Semiconductors | Taiwan

|                                 |                   |
|---------------------------------|-------------------|
| <b>Stock Rating</b>             | <b>Overweight</b> |
| <b>Industry View</b>            | <b>Attractive</b> |
| Price target                    | NT\$2,888.00      |
| Up/downside to price target (%) | 18                |
| Shr price, close (Jul 13, 2026) | NT\$2,440.00      |
| Mkt cap, curr (mn)              | NT\$63,264,271    |
| Avg daily trading value (mn)    | NT\$64,514        |

| Fiscal Year Ending           | 12/25 | 12/26e | 12/27e | 12/28e |
|------------------------------|-------|--------|--------|--------|
| EPS (NT\$)**                 | 66.25 | 107.56 | 143.01 | 177.30 |
| Prior EPS (NT\$)**           | -     | -      | -      | -      |
| EPS (NT\$)\$                 | 64.56 | 99.97  | 129.74 | 164.77 |
| ModelWare net inc (NT \$ bn) | 1,718 | 2,778  | 3,708  | 4,597  |
| P/E                          | 23.4  | 22.8   | 17.1   | 13.8   |
| Div yld (%)                  | 1.4   | 1.1    | 1.4    | 1.8    |

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Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework  
\*\* = Based on consensus methodology  
§ = Consensus data is provided by Refinitiv Estimates  
e = Morgan Stanley Research estimates

Preview to earnings

| Focus KPI | Focus KPI Surprise | Likely impact to consensus EPS* |
|-----------|--------------------|---------------------------------|
|-----------|--------------------|---------------------------------|

**TSMC** 2330.TW

|                                           |           |                          |
|-------------------------------------------|-----------|--------------------------|
| 2Q26 margin, 3Q26/2026 full-year guidance | — In-line | ↑ Modest revision higher |
|-------------------------------------------|-----------|--------------------------|

- We think TSMC may guide for 3Q26 revenue growth of 10-15% Y/Y, with the midpoint of margin guidance within the range of 67-68%.
- Full-year revenue growth target raised to high 30s (%) Y/Y, or close to 40% Y/Y. 2026 full-year capex updated to US\$56bn; five-year AI semi revenue CAGR is raised to 70%.
- Management's comments on AI demand sustainability - still very strong until 2028.

\*Likely impact to consensus EPS is for the next 12 months  
Source: Company data, Morgan Stanley Research

# Exhibit

**Exhibit 1:** Scenario 2 is our base case, to which we assign a 60% probability.

| Details of the scenario             | Scenario 1                  | Scenario 2          | Scenario 3                        |
|-------------------------------------|-----------------------------|---------------------|-----------------------------------|
| PROBABILITIES                       | 20%                         | 60%                 | 20%                               |
| 3Q26 USD revenue growth             | 15% Q/Q                     | 10-15% Q/Q          | 5-10% Q/Q                         |
| 3Q26 gross margin                   | 70%                         | 67-68%              | 66-67%                            |
| 2026 full-year revenue growth       | Around 40%                  | Close to 40%        | Around 35%                        |
| 2026 full-year capex in USD         | Raised to US \$60bn         | Raised to US \$56bn | Unchanged at US \$54-56bn         |
| Five-year AI semi revenue CAGR      | Raised to 80%               | Raised to 70%       | Unchanged at mid-high 50s (%)     |
| AI demand sustainability            | Until the end of the decade | Strong until 2028   | Could be affected by memory costs |
| Potential change in stock price (%) | Up 3-5%                     | Up 1-3%             | Down 3-5%                         |
| Corresponding projected stock price | NT\$2,487-2,535             | NT\$2,439-2,487     | NT\$2,294-2,342                   |

Source: Morgan Stanley Research estimates

## Valuation Methodology and Risks

### **TSMC (2330.TW)**

Base case, residual income model. Key assumptions: a cost of equity of 9.2% (beta of 1.2, risk-free rate of 2.0% and risk premium of 6.0%), an intermediate growth rate of 10.5%, and a terminal growth rate of 4.0%.

#### **Risks to Upside**

- TSMC charges large customers more to keep its gross margin above 56% in the long term.
- AI semi demand grows more significantly than expected, while TSMC maintains high market share in leading-edge foundry business.
- Outsourcing from Intel CPU increases in 2025-27.

#### **Risks to Downside**

- Inventory correction occurs in 2026.
- Demand for leading edge technologies weakens.
- Costs of overseas fabs grow significantly.

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|-----------------------|-------------------|------------|----------------------------------|----------------|----------------------|---------------------------------------------------|-----------------------|
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| Equal-weight/Hold     | 1577              | 43%        | 390                              | 42%            | 25%                  | 769                                               | 44%                   |
| Not-Rated/Hold        | 3                 | 0%         | 1                                | 0%             | 33%                  | 1                                                 | 0%                    |
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| Total                 | 3,668             |            | 933                              |                |                      | 1731                                              |                       |

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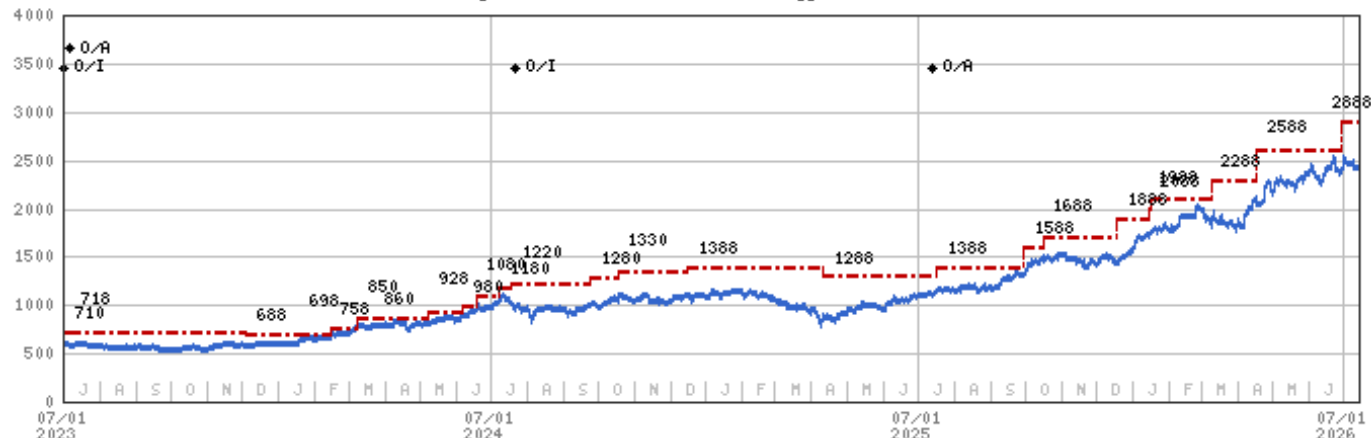
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## INDUSTRY COVERAGE: Greater China Technology Semiconductors

| COMPANY (TICKER)                                     | RATING (AS OF) | PRICE* (07/13/2026) |
|------------------------------------------------------|----------------|---------------------|
| <b>Charlie Chan</b>                                  |                |                     |
| ACM Research Inc (ACMR.O)                            | O (03/07/2023) | US\$103.00          |
| Advanced Micro-Fabrication Equipment Inc (688012.SS) | O (11/06/2023) | Rmb408.60           |
| Advanced Wireless Semiconductor Co (8086.TWO)        | U (07/14/2025) | NT\$135.00          |
| Alchip Technologies Ltd (3661.TW)                    | O (05/14/2021) | NT\$4,135.00        |
| ASE Technology Holding Co. Ltd. (3711.TW)            | O (09/15/2024) | NT\$670.00          |
| Cambricon Technology Corporation (688256.SS)         | O (04/27/2026) | Rmb1,390.00         |
| Global Unichip Corp (3443.TW)                        | O (06/24/2026) | NT\$4,270.00        |
| GlobalWafers Co Ltd (6488.TWO)                       | E (05/19/2026) | NT\$1,485.00        |
| Gudeng Precision (3680.TWO)                          | O (11/25/2025) | NT\$523.00          |
| Hua Hong Semiconductor Ltd (1347.HK)                 | E (03/12/2026) | HK\$172.30          |
| Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)     | O (04/27/2026) | HK\$480.00          |
| King Yuan Electronics Co Ltd (2449.TW)               | O (03/03/2023) | NT\$307.00          |
| Maxscend Microelectronics Co Ltd (300782.SZ)         | U (01/11/2021) | Rmb87.95            |
| MediaTek (2454.TW)                                   | O (11/28/2025) | NT\$3,825.00        |
| MetaX Integrated Circuits (688802.SS)                | E (04/27/2026) | Rmb972.86           |
| Nanya Technology Corp. (2408.TW)                     | O (05/28/2026) | NT\$423.00          |
| NAURA Technology Group Co Ltd (002371.SZ)            | O (11/06/2023) | Rmb764.30           |
| OmniVision Integrated Circuits Group Inc (603501.SS) | E (11/17/2025) | Rmb102.49           |
| Phison Electronics Corp (8299.TWO)                   | E (02/25/2026) | NT\$2,170.00        |
| SG Micro Corp. (300661.SZ)                           | E (11/03/2025) | Rmb116.26           |
| Silergy Corp. (6415.TW)                              | U (05/19/2026) | NT\$524.00          |
| SMIC (0981.HK)                                       | O (10/21/2025) | HK\$78.35           |
| TSMC (2330.TW)                                       | O (02/07/2022) | NT\$2,440.00        |
| UMC (2303.TW)                                        | O (05/19/2026) | NT\$153.50          |
| Vanguard International Semiconductor (5347.TWO)      | E (01/14/2026) | NT\$178.50          |
| WIN Semiconductors Corp (3105.TWO)                   | U (07/14/2025) | NT\$403.00          |

**Daisy Dai, CFA**

|                                                      |                |            |
|------------------------------------------------------|----------------|------------|
| ASMP T Ltd (0522.HK)                                 | O (07/24/2025) | HK\$185.40 |
| China Resources Microelectronics Limited (688396.SS) | U (03/02/2026) | Rmb77.60   |
| Empyrean Technology Co Ltd (301269.SZ)               | E (01/17/2025) | Rmb119.83  |
| Hangzhou Silan Microelectronics Co. Ltd. (600460.SS) | U (08/25/2025) | Rmb41.93   |
| Hygon Information Technology Co., Ltd. (688041.SS)   | O (07/03/2026) | Rmb345.00  |
| Innoscence (2577.HK)                                 | E (10/13/2025) | HK\$49.38  |
| JCET Group Co Ltd (600584.SS)                        | E (01/16/2026) | Rmb99.05   |
| Shanghai Fudan Microelectronics (1385.HK)            | O (03/07/2025) | HK\$29.38  |
| SICC Co Ltd (688234.SS)                              | O (03/20/2026) | Rmb138.59  |
| StarPower Semiconductor Ltd (603290.SS)              | E (05/14/2026) | Rmb116.99  |
| Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)  | U (01/10/2023) | Rmb81.74   |
| Universal Scientific Ind. (Shanghai) (601231.SS)     | O (11/05/2025) | Rmb27.80   |
| Yangjie Technology (300373.SZ)                       | O (06/10/2022) | Rmb113.31  |

**Daniel Yen, CFA**

|                                                    |                |               |
|----------------------------------------------------|----------------|---------------|
| AP Memory Technology Corp (6531.TW)                | O (07/11/2025) | NT\$893.00    |
| ASMedia Technology Inc (5269.TW)                   | U (10/03/2025) | NT\$1,510.00  |
| Aspeed Technology (5274.TWO)                       | O (06/09/2025) | NT\$13,520.00 |
| Egis Technology Inc (6462.TWO)                     | E (01/28/2026) | NT\$107.00    |
| Elan Microelectronics Corp (2458.TW)               | O (10/03/2025) | NT\$183.00    |
| Espressif Systems (688018.SS)                      | O (05/15/2023) | Rmb125.80     |
| GigaDevice Semiconductor Beijing Inc (603986.SS)   | O (05/15/2025) | Rmb550.80     |
| Macronix International Co Ltd (2337.TW)            | O (09/18/2025) | NT\$138.00    |
| Montage Technology Co Ltd (6809.HK)                | O (03/18/2026) | HK\$332.20    |
| Montage Technology Co Ltd (688008.SS)              | O (03/18/2026) | Rmb252.79     |
| Novatek (3034.TW)                                  | U (02/04/2026) | NT\$467.50    |
| Nuvoton Technology Corporation (4919.TW)           | U (11/10/2025) | NT\$163.50    |
| Parade Technologies Ltd (4966.TWO)                 | O (05/27/2026) | NT\$647.00    |
| Powerchip Semiconductor Manufacturing Co (6770.TW) | O (10/27/2025) | NT\$69.00     |
| Realtek Semiconductor (2379.TW)                    | E (01/30/2026) | NT\$756.00    |
| Shenzhen Goodix Technology Co Ltd (603160.SS)      | U (07/14/2025) | Rmb55.63      |
| Winbond Electronics Corp (2344.TW)                 | O (05/28/2026) | NT\$167.00    |
| WPG Holdings (3702.TW)                             | O (03/16/2026) | NT\$117.00    |
| WT Microelectronics Co. Ltd. (3036.TW)             | O (01/27/2026) | NT\$211.00    |

**Duan Liu**

|                                                 |                |           |
|-------------------------------------------------|----------------|-----------|
| Dosilicon Co Ltd (688110.SS)                    | U (09/06/2024) | Rmb154.15 |
| Shenzhen Longsys Electronics Co Ltd (301308.SZ) | E (02/25/2026) | Rmb522.04 |

**Tiffany Yeh**

|                                                |                |              |
|------------------------------------------------|----------------|--------------|
| AllRing Tech Co. (6187.TWO)                    | O (09/23/2025) | NT\$1,035.00 |
| FOCI Fiber Optic Communications Inc (3363.TWO) | O (01/15/2025) | NT\$601.00   |
| Himax Technologies Inc (HIMX.O)                | E (02/04/2026) | US\$15.23    |
| Hon Precision (7769.TW)                        | O (04/17/2026) | NT\$6,705.00 |
| MPI Corporation (6223.TWO)                     | O (04/17/2026) | NT\$6,640.00 |
| Silicon Motion (SIMO.O)                        | O (05/06/2024) | US\$326.35   |
| WinWay Technology Co Ltd (6515.TW)             | O (04/17/2026) | NT\$7,375.00 |

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\* Historical prices are not split adjusted.